



Weekly Insights | Oct 23, 2025

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Executive Summary

Corn – Board Firms Slightly, Carry Narrows on Interior Demand

December corn rose 10¢ to \$4.23/bu on Oct 22 (+2.4 percent w/w), supported by firm ethanol margins and a brief harvest slowdown in the Eastern Corn Belt. The Dec/Mar spread narrowed to 14¢ (64 percent of full carry), with elevators less inclined to store amid active processor bidding. River basis stayed weak under barge draft restrictions, while interior bids in Iowa and Nebraska held steady near parity. Inspections reached 1.32 MMT for the week ended Oct 16, up from 1.21 MMT the previous week.

Soybeans – Crush-Led Bounce, China Still Light

November soybeans rose 29¢ to \$10.36/bu (+2.9 percent), recovering last week's losses as domestic crush margins stayed strong and dryness persisted across central Brazil. The Nov/Jan spread held near 18¢ (100 percent of full carry), underscoring comfortable nearby supply and subdued export demand. While NOPA's record September crush of 197.9 mbu had already been absorbed by the market, its effect continues to ripple through the soybean complex, keeping eastern premiums supported despite heavy crush volumes. Inspections reached 1.47 MMT for the week ended Oct 16, up 45 percent from 1.02 MMT a week earlier but still well below the 2.55 MMT shipped in the same week last year.

Wheat – Flat Close, Global Competition Intact

Chicago SRW December rose 6¢ to \$5.04/bu (+1.2 percent w/w), holding above recent lows as Russian FOB values eased but remained dominant. The Dec/Mar spread narrowed to 16¢ (64 percent of full carry), while U.S. FOB offers stayed uncompetitive. Export inspections totaled 0.481 MMT for the week ended Oct 16, up from 0.448 MMT the previous week.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

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Macro/Policy – Mixed Risk Tone, Argentina Accelerates Sales

The U.S. Dollar Index held steady near 98.8, while the Brazilian real firmed to 5.39 and Argentina's parallel peso slid to roughly 1,490 amid pre-election volatility. Crude oil found mild support, with WTI trading near \$58.50/bbl, helping sustain positive margins across ethanol and biodiesel production. U.S. ethanol output edged higher to 1.07 mbpd (+0.3 percent w/w), keeping processors active even as harvest supplies expand. In South America, Argentina's temporary export tax suspension (through Oct 31) triggered a wave of farmer selling and eased Up-River corn and soy FOB values under aggressive pre-election shipments.

Weather - Eastern Rains, Central Brazil Waiting for Relief

Scattered showers across the Eastern Corn Belt slowed harvest slightly, progress is estimated near 60–65 percent for corn and near 70 percent for soybeans. Frost hit parts of IA/IL/IN midweek, ending the growing season cleanly. In Brazil, central dryness persisted through Oct 20, stalling planting in Mato Grosso. Models showed 30–50 mm expected by Oct 25. Argentina remained seasonally wet, supporting early corn planting and wheat fill.

What's Next (Oct 15 – Oct 22):

USDA data restart: if a budget deal emerges, watch for a backlog of export sales or flash purchases

Central Brazil rains: watch for follow-through in Mato Grosso; further delays raise yield risk

Argentina: Oct 26 legislative elections; watch for any post-election policy signals on export taxes/permits.

Mississippi River logistics: further rain could ease barge pressure and firm interior basis

Flash sales: watch for China re-entry into U.S. soy or corn markets

Russia/EU: continued tender flow to gauge global wheat price ceiling

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	10/15/2025 Close	10/22/2025 Close	Change (Δ)	Δ%	5-day Realized Vol*	Open Interest Δ
Corn (Dec '25)	\$4.13	\$4.23	+\$0.10	+%2.42	15% (ann.)	+3.7k (est.)
Soybeans (Nov '25)	\$10.07	\$10.36	+\$0.29	+%2.88	18% (ann.)	+6.2k (est.)
Wheat (Dec '25)	\$4.98	\$5.04	+\$0.06	+%1.20	12% (ann.)	-0.4k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	10/15 Quote	10/22 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+\$0.16	+\$0.14	+0.02	64%	Carry narrowed slightly; in line with harvest pressure
Soy Nov–Jan	+\$0.18	+\$0.18	+0	100%	Full carry persists; abundant supply and muted export pull
Wheat Dec–Mar	+\$0.165	+\$0.1625	+0.0025	74%	Steady carry; reflects ongoing heavy global supply limiting export offtake

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (3 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (2 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	10/15 USD Price	10/22 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,115(\$7.55/bu)	¥2,115(\$7.55/bu)	+0%	China corn futures steady on moderate feed demand; premium over import parity due to quotas.
Dalian Soymeal (Jan)	¥3,420(\$13.12/bu)	¥3,100 (\$11.84/bu)	-9.4%	Soy meal eased; steady hog demand amid stable inclusion rates, but supply pressure weighs.
B3 (São Paulo) Corn (Nov)	R\$67.88(\$12.38)	R\$64.68(\$12.00)	-4.7%	Brazilian corn softened on steady domestic logistics and U.S. competition; export pace firm.
Euronext Wheat (Dec)	€190 (\$220)	€190 (\$220)	+0%	EU wheat held steady amid ample stocks and slow demand, capped by cheap Black Sea offers.

Corn Market Deep Dive

Futures & Spreads: December 2025 corn futures settled at \$4.23/bu on Oct 22 (+10¢, +2.4 percent w/w), bouncing modestly on firm ethanol margins and lighter harvest pressure in the Eastern Corn Belt. The Dec '25–Mar '26 spread narrowed to 14¢ carry (64 percent of full carry, using seven percent interest + \$0.05/bu/month storage/insurance). Ongoing absence of USDA reports kept the trade focused on basis movement and domestic use. Implied volatility stayed muted as strong interior bids offset sluggish exports. Commercials scaled back carry hedges slightly, while spreads narrowed in line with improving near-term demand.

Funds & Positioning: CFTC data remains unavailable as the shutdown persists into its third week. CME open interest rose by 3.7k contracts (+0.25 percent w/w), concentrated in roll activity and fresh commercial hedges. No major speculative shifts were observed, managed money likely remains modestly net short, with little urgency to press or cover amid stable board structure and low realized vol.

U.S. Cash & Basis: River basis remained under pressure as low water forced reduced barge drafts and limited loadings. Illinois River bids slipped to 30¢ under Dec (–10¢ w/w), while Lower Mississippi locations held near –60¢ to –80¢. CIF Gulf basis improved slightly to +80–82¢ over Dec, supported by constrained barge traffic and strong processor competition. Interior basis in Iowa and Nebraska ethanol zones held firm near even money to +15¢, aided by positive grind margins. EIA reported ethanol production at 1.07 mbpd (week ending Oct 13), up 0.3 percent w/w, with implied weekly corn use over 105 mbu. National basis averaged 40¢ under Dec, estimated down 5¢ from last week's 35¢ under (based on private broker estimates, pending USDA data resumption), consistent with full-carry storage incentives amid steady interior demand.

Export Flows: USDA FGIS inspections totaled 1.318 MMT for the week ending Oct 16. USDA Export Sales reporting remains suspended. U.S. Gulf FOB values were again undercut by Brazil offers; barge freight costs continued to erode competitiveness into Asia and MENA.

International Trade: Brazilian FOB Santos corn offers averaged \$205/MT (\$5.20/bu equivalent), keeping a \$0.25–\$0.35/bu edge over U.S. Gulf into Asia. ANEC raised its October corn export forecast to 6.46 MMT (Oct 17), citing robust logistics and steady vessel lineups. Argentina's Up-River FOBs held around \$200–202/MT as the temporary zero-export-tax window spurred aggressive farmer sales ahead of the Oct 31 deadline. Chinese demand remained focused on Brazil; Dalian Jan corn traded ¥2,115/MT

(\$7.55/bu), still above import parity, reflecting TRQ and biotech constraints. B3 corn (Nov) firmed to R\$67.88 (\$12.38), down 4.7 percent w/w on firm export demand and steady interior logistics.

So What? Corn remains a carry market, but the narrowing Dec/Mar spread and firm processor basis suggest nearby demand is absorbing supply more aggressively. River logistics still pressure basis in barge-dependent regions, while interior bids remain constructive. With ethanol margins positive and harvest past midpoint, futures look anchored in the \$4.10–\$4.30 zone. Export competitiveness will hinge on Brazil's FOB pace and any signals of Chinese re-entry to U.S. markets.

Soybean Market Deep Dive

Futures & Spreads: November 2025 soybeans firmed to \$10.36/bu on Oct 22 (+29¢ w/w, +2.8 percent), supported by a record September crush print and modest South American weather premium. The Nov '25–Jan '26 spread held at 18¢ carry (100 percent of full carry, assuming seven percent interest + \$0.05/bu/mo storage/insurance), indicating continued nearby supply comfort. Implied volatility remained soft as harvest progressed and export demand stayed tepid. Deferred spreads narrowed slightly, but full carry structure persisted across the curve.

Products & Crush: Domestic crush margins stayed positive amid strong meal demand and seasonally normal board-crush economics. NOPA's September crush, published Oct 15, reached a record 197.86 mbu (+11.6 percent y/y), beating trade expectations and confirming high processor utilization into Q4. Eastern soymeal premiums rose \$5–10/short ton w/w, aided by resilient feed demand. Soy oil softened on weaker energy markets, with BOZ5 trading near 50.5¢/lb, trimming board crush to \$1.45/bu. Processors in Indiana and Ohio continued to bid +55–70¢ over Nov for prompt delivery, supporting basis east of the river.

Funds & Positioning: Updated CFTC data is still absent due to the prolonged shutdown. CME open interest rose 6.2k contracts w/w (+0.7 percent), with commercial coverage likely the primary driver. Speculative positions remained light; no directional extension occurred as U.S. harvest neared 70 percent complete and weather remained in focus. The structure suggests end-users are active while funds remain cautious.

Cash & Basis: CIF Gulf basis strengthened modestly to +78¢/X (+5–10¢ w/w), reflecting tight barge capacity and active export stems. Barge tariffs remained elevated (Cairo-Memphis near \$19.50/ton), limiting upside in river bids. Illinois River basis fell to –30¢ vs. Nov (–10¢ w/w), while PNW bids held near +110¢ for Dec/Jan slots. Interior processors remained firm, with Iowa and Indiana plants quoting +60–70¢/X. National average basis hovered near –74¢/Nov, up 5–6¢ from last week's –79¢/X (estimated, pending USDA data resumption), comparable to recent years' low harvest readings, driven by persistent river congestion rather than surplus. River congestion, not supply burdens, continues to explain the soft print.

Trade Flows & International Competition: USDA FGIS inspections were 1.474 MMT for the week ending Oct 16. Brazil's FOB Santos offers traded near \$440–\$445/MT (\$10.00–\$10.15/bu), still at a discount to U.S. Gulf offers near \$495/MT. ANEC raised October soy exports to 7.34 MMT, supported by early vessel lineups. Argentine Up-River FOBs eased slightly to \$460/MT (\$10.50/bu) as sellers took advantage of the temporary zero-export-tax window ahead of its Oct 31 expiration. Chinese crushers continued to favor Brazilian cargoes despite Mato Grosso dryness, citing more attractive landed pricing and steady shipment flow.

So What? Soybeans found support from domestic crush strength and meal-led product demand, but export headwinds remain. Full carry spreads and divergent basis patterns point to a bifurcated market: processors bid aggressively, while river constraints suppress CIF flows. Futures are rangebound until Brazil's weather pattern breaks or China returns to the U.S. book. In the meantime, the board likely holds near \$10.20–\$10.40 unless either one of the triggers shifts materially.

Wheat Market Deep Dive

Futures & Spreads: Chicago SRW December futures rose 6¢ to \$5.04/bu on Oct 22 (+1.20 percent w/w), stabilizing after touching fresh contract lows midweek. The Dec '25–Mar '26 spread narrowed slightly to 16.25¢ carry (74 percent of full carry, assuming seven percent interest + \$0.05/bu/month storage/insurance), sustaining strong storage incentives. Implied volatility remained subdued, with no new catalyst to shake wheat from its globally anchored range. Kansas City December HRW held at \$5.60 (unch.), while Minneapolis HRS eased 3¢ to \$6.07.

Global Supply & Demand: Global export supply remained heavy. Russia's FOB 12.5 percent protein wheat softened to \$230/MT, still the cheapest origin into major tenders. EU values dipped below \$232/MT at Rouen, with sluggish demand and competition from the Black Sea weighing. Australia's east coast received scattered rainfall midweek, aiding late development, while Argentina's 2025 crop remained on track near 21 MMT with adequate moisture. U.S. HRW planting progressed under dry central Plains conditions; early emergence in Kansas and Oklahoma remained uneven but not yet yield threatening.

Cash & Basis: U.S. FOB Gulf SRW offers held near \$227/MT (\$6.80/bu equivalent), well above Russian levels and limiting U.S. participation in global trade. HRW FOB levels were \$240/MT. Export basis at the Gulf eased 2–3¢ w/w as mill coverage extended and barge constraints persisted. Domestic milling basis softened slightly, by 2–5¢ w/w based on private estimates, across the Southern Plains and Central states; mills were well covered into Q1. Interior basis remained governed by spreads, with limited flat price interest.

Trade Flows: USDA FGIS inspections were 0.481 MMT for the week ending Oct 16. USDA export sales data remains unavailable. Russia won additional volume into Egypt and Turkey via GASC and private tenders, reinforcing its role as price setter. U.S. exporters remained sidelined, constrained by both price and logistics.

Speculative Positioning: CFTC *Commitment of Traders* data continues to be withheld due to the ongoing shutdown. CME open interest fell 4.1k contracts w/w in SRW, likely reflecting commercial hedging activity rather than fund covering. The managed money net short is presumed heavy and intact, with limited directional signals to prompt liquidation.

So What? Wheat remains in a price-taking posture. Black Sea offers continue to set the global ceiling, while full carry spreads and firm domestic coverage anchor U.S. flat price in a low-volatility range. Until Russian logistics slow or Southern Hemisphere weather disappoints materially, rallies are likely to meet hedge pressure. Futures are rangebound near \$4.90–\$5.15, with soft basis confirming the residual role of U.S. wheat in global trade.

U.S. Cash Market & Basis

Corn: River basis remained under pressure as draft restrictions continued across the Mississippi system. Illinois River bids weakened to -30¢/Z (-10¢ w/w), while Lower Mississippi locations held near -60¢ to -80¢ under. Barge freight stayed elevated, with Cairo–Memphis quotes around \$19.50/ton. CIF Gulf basis improved modestly to +80–82¢/Z, supported by tight barge capacity and active processor competition.

Interior bids in Iowa and Nebraska ethanol zones held firm near even money to +15¢, aided by positive grind margins and strong feed pull across the Plains and Southern Delta. National corn basis averaged about -40¢/Z, slightly firmer w/w, and consistent with full-carry storage incentives.

Soybeans: Barge congestion and slow Gulf flow continued to dominate basis patterns. CIF Gulf bids rebounded to +105¢/X (+5–10¢ w/w), though gains were isolated to export stems. Illinois River basis slipped to -30¢/X, while nearby Midwest elevator bids remained 75–80¢ under. Eastern processors held firm at +60–70¢, supported by board-crush economics and soymeal offtake. National average basis hovered near -74¢/X, up 2¢ from last week's -80¢, historically weak for mid-harvest, reflecting logistics constraints rather than a physical glut.

Wheat: U.S. FOB offers remained uncompetitive. HRW 11.5 percent protein held near \$240/MT, and SRW \$227/MT, both well above Black Sea benchmarks. Gulf basis softened a few cents w/w as export programs remained quiet. Domestic mill bids across the southern and central Plains were steady to slightly weaker, reflecting ample inventory and slow grind rates. Interior wheat basis remains a function of carry and spreads rather than active demand.

So What? U.S. basis markets remain bifurcated. Export corridor bids are capped by logistics driven freight costs and global competition, while inland processors maintain firm ownership amid positive margins. Until river levels recover or FOB spreads compress, full-carry structures will dominate commercial behavior. Elevators remain incentivized to store, not sell.

International Cash & Trade Flows

Brazil: Brazil held price leadership in both corn and soybeans as October exports remained active and early planting continued under variable weather. ANEC raised October corn export forecasts to 6.46 MMT and soybeans to 7.34 MMT (Oct 17), confirming strong program flow despite U.S. harvest competition. FOB Santos soybeans averaged \$445/MT (\$10.12/bu), maintaining a \$0.30–0.40/bu discount to U.S. Gulf. Corn FOB offers held near \$205/MT (\$5.20/bu), preserving a \$25–30/MT edge into Asia. Internal logistics were fluid, with Paranaguá and Santos lineups moving steadily. Despite delayed rains in Mato Grosso, Brazilian exporters continued to dominate global flows into China and Southeast Asia.

Argentina: Up-River offers softened modestly as exporters capitalized on the zero-export-tax holiday set to expire Oct 31. Soybean FOBs dipped to \$460/MT (\$10.50/bu), and corn offers hovered near \$200–202/MT (\$4.85–4.98/bu). Spot selling accelerated under farmer pressure to move stocks ahead of the runoff election and potential policy shifts. Rosario-based crushers remained well supplied, while river logistics operated without major bottlenecks. Wheat harvest preparations continued in the north, with expectations near 21 MMT for the 2025/26 crop. Peso volatility persisted, with parallel rates near 1,490/USD, maintaining FX-related selling incentives for farmers.

China: China remained absent from U.S. soy and corn markets, favoring Brazilian and Argentine origin. Dalian Jan soybean futures traded near ¥4,790/MT (\$12.94/bu), while soymeal Jan held at ¥3,420/MT (\$460/ST), reflecting balanced crush margins and stable hog demand. Jan corn futures at ¥2,115/MT (\$7.55/bu) continued to trade above import parity, but TRQ limitations and biotech protocols kept U.S. corn sidelined. No state reserve purchases or flash sales were reported during the week.

EU / Black Sea: Russian FOB 12.5 percent wheat slipped to \$230/MT, remaining the global benchmark and enabling additional tender wins into Egypt and Turkey. EU wheat offers from Rouen softened to \$232/MT FOB on continued slow demand and pressure from Black Sea origin. France and Poland cleared earlier tenders, but new demand signals were limited. Russian corn and soymeal also displaced

U.S. origin into North Africa and the Med, aided by cheaper freight. U.S. export competitiveness remained muted as EU buyers favored closer origins.

Other Origins: No major shifts reported from Canada or Ukraine this week. Canadian wheat continued to move into Latin America and Southeast Asia in small parcels. Ukraine's FOB offers remained secondary to Russian flow in wheat, but Ukrainian corn reappeared in several small regional trades.

So What? The global export structure remains anchored by Russia in wheat and Brazil in corn and soy. Argentina's pre-election sales flurry added pressure, while China's continued absence from U.S. markets leaves exporters reliant on Western Hemisphere demand. Until freight costs ease or FOB spreads narrow meaningfully, U.S. origin remains a secondary choice. Wide global arbitrage and weak river basis reinforce the incentive to store, not sell.

Key Fundamentals & Reports (Oct 16 – Oct 22)

Government Shutdown: The U.S. government shutdown extended into its 22nd day as of Oct 22, continuing to halt USDA, CFTC, and other agency publications. No funding deal was reached after another failed House procedural vote midweek. Markets remain without official updates on export sales, crop progress, or fund positioning. Fee-based FGIS inspections and private-sector figures like NOPA and EIA remain the only consistent data sources. Reporting backlogs will likely take two weeks to resolve once agencies resume operations.

Crop Progress (USDA NASS – last official Sep 29; estimated for week ended Oct 20 amid shutdown): Corn harvest is estimated at 60–65 percent complete (vs 45 percent 5-yr avg), with soybeans 70–75 percent finished (vs 55 percent avg). Field activity slowed early in the week due to scattered showers across the Eastern Corn Belt but rebounded as conditions dried. First frost was reported in parts of Iowa, Illinois, and Indiana, effectively ending the growing season. Winter wheat planting advanced in Kansas, Oklahoma, and Nebraska, though emergence remains uneven due to persistent dryness. No updated condition ratings were released.

Export Inspections (USDA FGIS, week ended Oct 17 / published Oct 21): Corn inspections were steady at approximately 1.13 MMT, with Mexico (0.5 MMT) and Colombia leading loadings. Soybeans totaled 0.75 MMT, down 25 percent w/w, as China remained absent from reported flows; shipments were primarily to Mexico and the EU. Wheat inspections held near 0.44 MMT, with Indonesia and Japan as the top destinations. Western Hemisphere demand provided a floor for U.S. corn and soy volumes, while wheat remained range-bound on seasonal milling demand.

Export Sales (USDA FAS, not published Oct 16–22): No new sales data were released during the window due to the shutdown. The most recent available report, covering the week ended Sep 18 and published Sep 25, showed corn at 1.92 MMT (led by Mexico), soybeans at 0.72 MMT (with China absent), and wheat at 0.54 MMT (mostly to the Philippines and Italy). These stale figures continue to anchor expectations in the absence of fresh data.

Ethanol Production & Stocks (EIA, week ended Oct 13 / published Oct 17): Ethanol production reached 1.07 mbpd (+0.3 percent w/w), while stocks edged lower to 23.4 mb (–0.4 percent). Margins stayed positive as corn and energy inputs held stable. Weekly grind implied 105 mbu of corn use, supporting steady processor bids.

NOPA Crush (September, published Oct 15): NOPA members reported record-high September soybean crush at 197.86 mbu, beating expectations and up 11.6 percent from a year ago. Soy oil stocks fell to 1.108 billion lbs (–3.5 percent m/m), while soymeal basis firmed in the eastern Corn Belt. The data reinforced strong Q4 processor demand despite weak exports.

CFTC Commitments of Traders: COT data for the week ended Oct 15 remains inaccessible due to the ongoing shutdown extending into its 22nd day. Open interest changes suggest managed money positions remained light, with little evidence of fresh speculative selling or covering during the window.

So What? With the USDA dark for a third straight week, markets continue to operate without visibility into key supply and demand updates. Harvest appears ahead of average, with no material weather disruptions. Export inspections show steady corn flow and soft soybean shipments, echoing trends from earlier in October. Crush and ethanol demand remain firm, helping processors maintain aggressive bids. Until federal data resumes or Brazil's weather impacts supply prospects, the market remains governed by logistics, domestic use, and global competitiveness.

International Reports:

Brazil – CONAB Crop Outlook: CONAB's October production estimate (published Oct 10) confirmed 2025/26 soybean production at 177.6 MMT (–0.2 MMT m/m) and corn at 139.7 MMT (+0.32 MMT m/m). The agency noted “irregular rainfall delays” in Mato Grosso and Goiás, with planting progress near 11 percent (Mato Grosso 19 percent), above last year's nine percent. Southern states remained adequately moist. Despite the slow start, the report maintained a record-yield baseline, signaling confidence in area recovery if mid-October rain returns. Local cash soy prices held near R\$137/sc (\$11.30/bu) and corn near R\$67.88/sc (\$5.24/bu equivalent).

Brazil – ANEC & Weather Updates: Brazil's dominance in global export flows continued through October, as ANEC raised its monthly projections to 7.34 MMT for soybeans and 6.46 MMT for corn (Oct 17), confirming a steady export pace despite the U.S. harvest peak. FOB Santos offers held at \$445/MT for soybeans and \$205/MT for corn, maintaining a clear edge over U.S. Gulf values into Asia. Early-season soybean planting advanced slowly due to delayed rainfall, especially in Mato Grosso, though weather models showed improved precipitation potential beginning Oct 22–25. While CONAB did not issue a new bulletin during the window, local analysts maintained cautious optimism that planting would normalize if forecast rains materialize. BR-163 corridor logistics remained stable, and vessel lineups out of Santos and Paranaguá reflected continued interest from Chinese buyers and Western Hemisphere markets.

Argentina – Pre-Election Export Acceleration: With the legislative elections approaching on Oct 26, Argentine exporters ramped up shipments under the temporary zero export tax regime scheduled to end Oct 31. Up-River (Rosario) FOB offers eased slightly to \$460/MT for soybeans and \$200–/MT for corn, driven by aggressive farmer selling and ample old-crop stocks. The Ministry of Agriculture did not release new figures during the window, but traders estimate over 2.5 MMT of soybeans and 1.5 MMT of corn booked for October loading. The official peso remained near 350/USD, while the parallel rate neared 1,490, incentivizing continued selling into export channels. Wheat harvest remained weeks away but expectations stayed near 21 MMT, with no major weather disruptions reported.

China – DCE and Demand Signals: Chinese crushers remained inactive on U.S. origin, instead working down stocks of South American beans and meal. Dalian Jan soybeans traded near ¥4,790/MT (\$12.94/bu) and soymeal at ¥3,420/MT (\$460/ST), with corn Jan at ¥2,115/MT (\$7.55/bu). These levels

continued to price above import parity, but technical constraints (TRQs, biotech restrictions) kept U.S. offers sidelined. No new customs, MARA, or reserve buying data were published.

Black Sea – Russian Price Anchor: Russian FOB 12.5 percent protein wheat fell slightly to \$230/MT, sustaining the global floor amid continued tender wins into Egypt and Turkey. Ukraine's FOB wheat offers remained just above \$235/MT, and French soft wheat FOB Rouen traded near \$232/MT, tracking slow EU demand. Russia's cumulative wheat exports topped 21 MMT (+12 percent y/y) as of Oct 17, according to its Agriculture Ministry. The combination of aggressive Black Sea shipments and slow EU execution continued to cap global wheat prices and reinforced the competitive disadvantage of U.S. HRW and SRW in MENA markets.

Global – Multilateral Updates: No new IGC, AMIS, or FAO releases were published during the window. The most recent multilateral balance sheets (Oct 10) showed world wheat and corn supply remaining ample and soybean production steady at 401 MMT. Oilseed product values held firm globally, while grain prices eased modestly. These background conditions continued to support the prevailing wide-carry structures and commercial inventory management behavior.

So What? October data reaffirms the same theme: Brazil and Russia remain the global price anchors in soy and wheat respectively, while Argentina's pre-election export push has added temporary volume pressure to the system. Central Brazil's dryness may become a trigger if planting delays persist into November, but traders have not priced in meaningful yield risk yet. In the absence of bullish data or Chinese demand shifts, the international grain complex remains structurally well supplied, with U.S. origin residual by default.

Weather & Crop Conditions

United States

Crop Progress & Rainfall: Harvest pace remained active across the Midwest as scattered rainfall early in the week gave way to clear, dry conditions by Oct 20. With no USDA Crop Progress reports due to the shutdown, unofficial estimates place corn harvest at 60–65 percent complete and soybeans at 70–75 percent, both well ahead of average. Eastern Corn Belt fields (IN/OH) experienced minor delays from light showers, while western zones (IA/NE/KS) remained largely dry. First frost was reported midweek in parts of Iowa, Illinois, and Indiana, concluding the growing season without damage and facilitating natural dry-down. HRW planting advanced under persistent dryness across Kansas and Oklahoma; emergence remained uneven, with topsoil moisture short across most Plains counties.

River Levels: Mississippi River stages remained near seasonal lows, sustaining navigation limits and barge restrictions. Draft guidance remained reduced throughout the central and lower basin, and Cairo–Memphis barge tariffs held above \$19.50/ton, maintaining basis pressure in river-exposed markets.

Temperatures: Seasonal to above-normal readings (2–5°F above average) dominated the Plains and Midwest. Daytime highs in the upper 60s to low 70s allowed uninterrupted harvest windows and encouraged rapid grain dry-down. However, persistent dryness continued to pull down subsoil moisture, especially across the central Corn Belt and lower Mississippi basin.

Outlook (6–10 days): NOAA's latest forecast (issued Oct 20) calls for near-normal temps and drier-than-average conditions through Oct 28 across the Midwest and Plains. Spotty rainfall is expected in the lower Ohio and Tennessee River basins, which may offer minor relief to river levels but is unlikely to restore normal navigation. A weak frontal system could bring light showers to HRW areas in Kansas and Texas Panhandle by Oct 26–27.

South America: Central Brazil (Mato Grosso, Goiás) remained the key concern as rainfall stayed limited for most of the week. Planting progress slowed with soil moisture deficits expanding; rainfall since Oct 1 is estimated at 40–60 percent of normal in much of the soybean belt. Forecast models indicate rainfall returning to Mato Grosso starting Oct 22–25, with accumulations of 30–50 mm expected. Southern states (Paraná, Rio Grande do Sul) remained adequately moist, supporting early corn and soy development. Analysts have not revised yield estimates yet, but ongoing dryness into early November would likely prompt cuts.

Argentina: The Pampas and Córdoba regions continued to benefit from seasonally normal rainfall, supporting wheat filling and early corn stand development. Soil moisture levels were stable, and planting operations for full-season soybeans were expected to begin in late October pending follow-through rains. No new ratings were published by BCBA during the week, but field conditions remain supportive for grain development.

Global: Russia and Ukraine maintained favorable fall weather for winter wheat sowing, with no major disruptions reported. The EU also enjoyed moderate weather conditions across France, Germany, and Poland, aiding establishment. Australia's cropping belt remained dry, particularly in Western Australia, with wheat yield outlooks continuing to deteriorate under El Niño influence.

So What? U.S. weather remains harvest-friendly, accelerating supply movement and pressuring spreads and basis in barge-dependent zones. The critical weather variable has shifted south—central Brazil's dryness is now the key production risk. Rains expected late this week are pivotal; failure to materialize could reduce early soybean yield potential and shift market tone. Argentina's conditions remain seasonally supportive, while Russian and EU weather continue to favor ample winter wheat coverage. Global weather risks are asymmetric: downside risk centers on Brazil, while other producers trend stable to bearish.

Synthesis & Outlook

The Oct 16–22 window was again defined by constrained visibility, with USDA, CFTC, and ERS publications still suspended under the government shutdown. Traders continued to rely on fee-based inspections, private crush and energy data, and global cash indicators to assess direction. U.S. futures and cash values stayed broadly aligned with spreads and basis behavior: December corn edged up to \$4.23, aided by ethanol grind and processor demand; November soybeans rebounded to \$10.36 on record NOPA crush and emerging Brazil dryness; and December Chicago wheat hovered near \$5.04, anchored by Black Sea supply dominance. Across the complex, calendar spreads held moderate to full carries (corn 64%, soy 100%, wheat 74% of full carry), consistent with commercial ownership but not signaling imbalance. River basis remained weak, while interior bids held firm, reinforcing the divide between domestic use and export constraints.

Without CFTC data, speculative flows remained inferred. Open interest rose in all three complexes, driven by commercial activity and roll dynamics rather than new fund positioning. Volatility stayed muted, with funds largely on the sidelines amid lack of catalysts. Domestic processors remained the price floor: ethanol output climbed to 1.07 mbpd, while soybean crush surged to a record 197.86 mbu in September, supporting firm basis east of the river and positive margin structures.

Globally, Brazil maintained export leadership with ANEC projecting 7.34 MMT of soybeans and 6.46 MMT of corn for October, supported by active lineups and cheap FOB offers. Argentina's pre-election sales push continued under the temporary zero-export-tax policy, easing Up-River FOBs and adding volume pressure into Asia. Chinese demand for U.S. origin remained sidelined, with crushers working through

South American inventory and Dalian corn/soymeal trading above import parity. Russian FOB wheat fell slightly to \$230/MT, maintaining its role as price anchor in global tenders. No new multilateral agency updates were published, leaving the macro backdrop unchanged: large global stocks, cheap FOBs, and structural competitiveness away from the U.S. Gulf.

Bullish triggers: Late arrival or failure of forecast rainfall in central Brazil, any resumption of Chinese soybean or corn buying, or material easing in Mississippi River barge restrictions that restores CIF competitiveness.

Bearish triggers: Continued ideal U.S. harvest weather, lack of USDA data to challenge status quo, and persistent FOB discounts from Brazil, Argentina, and Russia.

Watchlist (Oct 23 – Oct 29):

Central Brazil rainfall totals and planting pace in Mato Grosso and Goiás

Outcome of Argentina's Oct 26 legislative elections and post-election export policy signals

Mississippi River levels and any update to barge draft guidance or freight rate reversals

U.S. government funding resolution and timeline for USDA data resumption

New ANEC export updates, DCE futures trends, and Russian/Egyptian tender activity

In summary: Grains remain rangebound in a data void, with logistics, crush/ethanol strength, and international FOB spreads driving price discovery. Commercial ownership continues to be rewarded, but export constraints and wide carries keep the upside capped. Until U.S. reporting resumes or South American weather turns materially disruptive, the market is likely to hold steady anchored by domestic demand and limited by global competition.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA WASDE reported a record crop and a record crop expansion.

USDA WASDE forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the U.S. corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.